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P25-A520U20-1

eduqas

Part of WJEC

GCE A LEVEL

A520U20-1

PREDICTED 2025 – AFTERNOON

ECONOMICS – A level component 2
Exploring Economic Behaviour

2 hours 30 minutes

PREDICTED PAPER 2 (ADVANCED)

ADDITIONAL MATERIALS

A calculator.

A WJEC pink 16-page answer booklet.

INSTRUCTIONS TO CANDIDATES

Use black ink or black ball-point pen. Do not use gel pen or correction fluid.

You may use a pencil for graphs and diagrams only.

Answer all questions.

Write your answers in the separate answer booklet provided, following the instructions on the front of the answer booklet.

Use both sides of the paper. Write only within the white areas of the booklet.

Write the question number in the two boxes in the left-hand margin at the start of each answer, for example

1	1
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Leave at least two line spaces between each answer.

INFORMATION FOR CANDIDATES

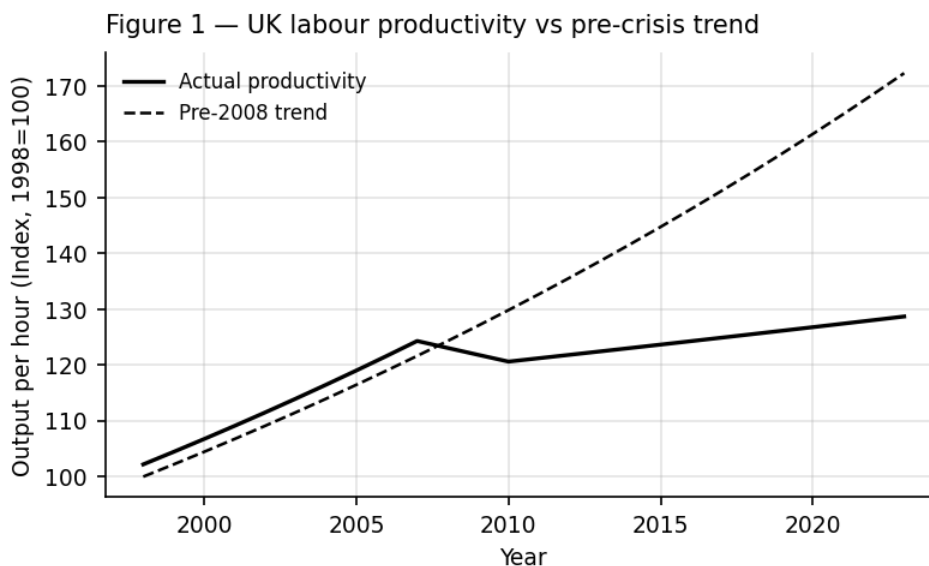
The number of marks is given in brackets at the end of each question or part-question.

You are reminded of the necessity for good English and orderly presentation in your answers.

Answer all questions.

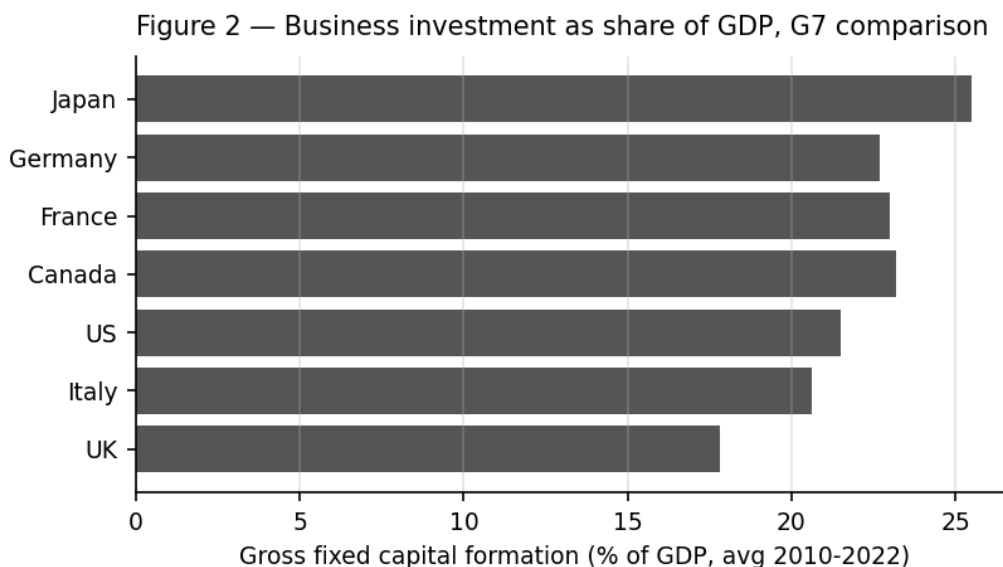
The productivity puzzle

For most of the post-war period, UK output per hour worked rose steadily at around 2-2.5% per year. Since the 2008 financial crisis, however, productivity growth has almost ground to a halt, averaging around 0.5% per year. This slowdown has become so persistent that economists refer to it as the 'UK productivity puzzle' (Figure 1). If productivity had continued to grow at the pre-crisis trend, UK GDP per capita would be around 25% higher today.



Possible explanations

There is no consensus on the cause. One school of thought emphasises weak investment: UK business investment as a share of GDP has been below the G7 average for most of the past forty years (Figure 2). Low investment means a smaller capital stock per worker, and hence lower potential output per worker.

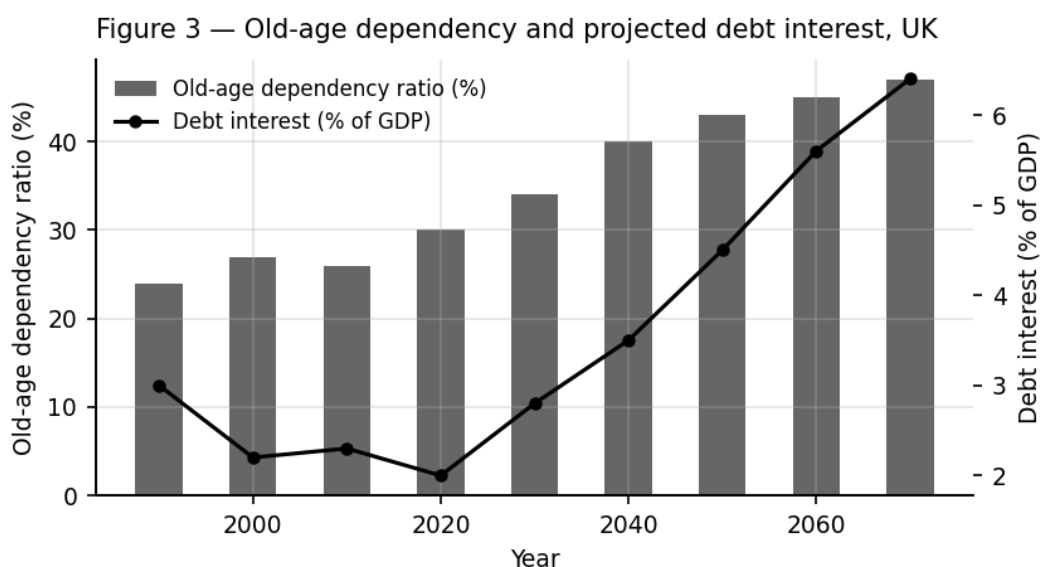


A second school stresses structural change. Productivity growth in the finance and ICT sectors — which drove much of the pre-crisis acceleration — has slowed dramatically, while the rapidly growing service sectors such as hospitality and social care typically have lower productivity than manufacturing.

A third argues that mismeasurement plays a role: digital goods and services often have very low marginal cost and are available free to consumers, so the value they generate may not be fully captured by GDP. If true, this implies that measured productivity understates actual welfare gains.

Demographic and fiscal pressures

At the same time, the UK's population is ageing. The Office for Budget Responsibility projects that the old-age dependency ratio — the ratio of over-65s to people of working age — will rise from around 31% today to 47% by 2070. This has two major consequences. First, the potential growth rate of the economy falls, because a smaller share of the population is in work. Second, public spending on pensions, healthcare and long-term care rises faster than the tax base, putting pressure on the public finances (Figure 3).



UK public sector net debt has risen from around 35% of GDP in 2007 to close to 100% today. With interest rates higher than in the 2010s, debt interest now absorbs around 8% of total government spending — more than is spent on defence or transport. Economists disagree about the significance. Some argue that fiscal space is genuinely constrained and that any new spending must be funded by tax rises or spending cuts elsewhere. Others argue that well-targeted public investment — particularly in research and development, infrastructure and skills — can pay for itself over time by raising the growth rate.

Policy responses

The UK government has proposed a range of supply-side policies including 'full expensing' of business investment in plant and machinery, reforms to the R&D tax credits system, planning reforms to accelerate infrastructure delivery, and changes to the apprenticeship levy. The Bank of England, meanwhile, has highlighted long-run risks to potential output from the post-pandemic rise in long-term sickness, which has pushed several hundred thousand people out of the labour force.

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 Using the data, explain why UK productivity growth has slowed since 2008. [5]
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 Using the data, explain why an ageing population creates challenges for the sustainability of the UK public finances. [5]
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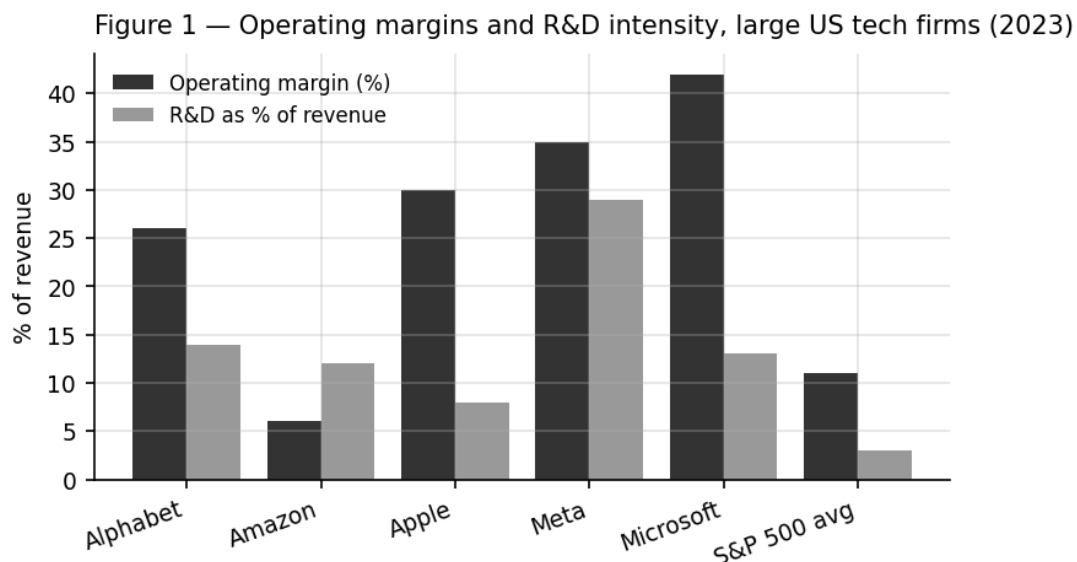
 Evaluate the effectiveness of supply-side policies in raising UK productivity. [10]
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 Using the data, discuss the extent to which rising public debt limits the UK government's ability to boost long-run economic growth. [10]
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 Using the data, discuss whether the UK's productivity problems are primarily structural or cyclical. [10]

Too big to compete?

Over the past two decades a small number of digital platforms — Alphabet (Google), Amazon, Apple, Meta (Facebook) and Microsoft — have come to dominate major segments of the global economy. Between them they account for well over half of global digital advertising, more than 80% of mobile operating systems and a rising share of cloud computing and AI infrastructure. Their revenues and, in particular, their operating margins, far exceed those of traditional firms (Figure 1).



Sources of market power

These firms enjoy market power for reasons that are distinctive to digital markets. First, network effects: a social network, search engine or marketplace becomes more valuable to each user as more users join, creating a strong tendency towards 'winner-takes-most' outcomes. Second, economies of scale: the marginal cost of serving an additional user is often close to zero, meaning a larger firm can set prices below the average cost of smaller rivals. Third, control over data: dominant platforms accumulate data on user behaviour that can be used to refine products and target advertising in ways that new entrants cannot easily match.

Figure 2 shows a stylised monthly cost and revenue schedule for 'PlatformCo', a dominant digital platform. All values are in millions of pounds.

Figure 2 — PlatformCo: monthly price, quantity and cost schedule

Price (£/user)	Users (m)	Total Revenue (£m)	Total Cost (£m)	Abnormal Profit (£m)
£100	0		£20	
£90	1		£35	
£80	2		£60	
£70	3		£95	
£60	4		£140	
£50	5		£195	
£40	6		£260	
£30	7		£335	
£20	8		£420	

Innovation and consumer welfare

Defenders of big tech argue that high monopoly profits have funded unprecedented levels of investment in research and development. Alphabet and Microsoft each spend more on R&D each year than the entire UK government, and much of this spending has translated into products that consumers use for free. On this view, the large producer surplus earned by dominant platforms is a reward for innovation, and attempts to constrain it — whether through structural break-up, price regulation or mandatory interoperability — risk reducing the incentive to innovate.

The case for regulation

Critics reply that the welfare effects of platform dominance are more complex. When consumers pay nothing for a service such as search or social networking, traditional measures of consumer surplus based on price do not capture the cost to users. Instead, users pay with attention and personal data, and they may be exposed to lower-quality services, weaker privacy protection or higher advertising loads than would prevail in a competitive market. There is also growing evidence that dominant platforms use their position in one market to foreclose competition in adjacent markets — for example by favouring their own products in search results or app stores.

The UK Digital Markets, Competition and Consumers Act 2024 gives the CMA new powers to designate firms with 'strategic market status' and to impose bespoke conduct requirements on them. The EU's Digital Markets Act (2022) takes a similar ex-ante approach in Europe, while the United States has so far relied on case-by-case antitrust litigation. Each of these frameworks faces difficult trade-offs between deterring harmful conduct, preserving incentives to innovate, and keeping up with fast-moving technological change.

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 Using the data, outline the characteristics of monopoly shown by dominant digital platforms. [5]
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 Using Figure 2, calculate the total revenue, total cost and abnormal profit at each output level for PlatformCo. Record the answers in your pink answer booklet. Using your answers, identify the profit-maximising output and the revenue-maximising output, and explain why they differ. [7]
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 Using a monopoly diagram, evaluate the welfare effects of breaking up a dominant digital platform into smaller competing firms. [10]
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 Evaluate the view that sustained innovation requires firms to enjoy significant monopoly power. [7]
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 With reference to the data, discuss the extent to which ex-ante regulation (such as the UK's Digital Markets, Competition and Consumers Act 2024) can effectively constrain the market power of dominant digital platforms. [11]

END OF PAPER

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